

Shared Services Setup

Oracle SCM Cloud

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This document explains the configuration steps required to implement a Shared Services Procurement model in Oracle Fusion, where one Business Unit handles Requisitioning and Receiving, while another Business Unit manages Procurement and Payables.

Step 1: First Create 2 Business Unites:

1. BU1 for Receiving and Requisitioning and all other Business Functions.

2. BU2 for Procurement and paypales only.

BU1

The screenshot shows the 'Assign Business Functions' configuration page for 'ZH_BU'. The page has a dark header with the 'vision' logo and navigation icons. Below the header, there are three buttons: 'Save', 'Save and Close', and 'Cancel'. The main content area is divided into two sections: 'Business Unit Functions' and 'Financial Reporting'.

Business Unit Functions
Select all business functions that this business unit will perform.

View Format Freeze Wrap

Name	Enabled
Billing and Revenue Management	☒
Service Request Management	☒
Collections Management	☒
Materials Management	☒
Customer Contract Management	☒
Requisitioning	☒
Receiving	☒
Expense Management	☒
Revenue Compliance and Accounting	☒

Financial Reporting
Select the primary ledger and default legal entity for the business function you chose so that financial transactions can be generated.

*Primary Ledger: US Primary Ledger

Below legal entity: ☒ Below legal entity

*Legal Entity: US1 Legal Entity

Procurement BU2

The screenshot shows the 'Assign Business Functions' configuration page for 'ZH_PROCUREMENT'. The page has a dark header with the 'vision' logo and navigation icons. Below the header, there are three buttons: 'Save', 'Save and Close', and 'Cancel'. The main content area is divided into two sections: 'Business Unit Functions' and 'Financial Reporting'.

Business Unit Functions
Select all business functions that this business unit will perform.

View Format Freeze Wrap

Name	Enabled
Payables Invoicing	☒
Customer Payments	☒
Procurement	☒
Expense Management	☒
Procurement Contract Management	☒
Incentive Compensation	☒
Payables Payment	☒
Lease Accounting	☒
Billing and Revenue Management	☐
Collections Management	☐
Customer Contract Management	☐

Financial Reporting
Select the primary ledger and default legal entity for the business function you chose so that financial transactions can be generated.

*Primary Ledger: US Primary Ledger

*Default Legal Entity: US1 Legal Entity

Step 2: Before making any **Requisitioning** or **Procurement** Configurations you must Set the **Relationship between Business Unites** From Task called **Manage Service Provider Relationship**.

vision
Setup: Procurement

Search Tasks: %service Prov

Functional Areas

- * Initial Users
- * Enterprise Profile
- * Legal Structures
- * Financial Reporting Structures
- * Organization Structures
- Workforce Structures
- * Users and Security
- * Purchasing Categories
- * Suppliers
- * Approval Management
- * Procurement Foundation
- * Items
- Purchasing Foundation

Organization Structures

View Format Freeze Detach Wrap Show All Tasks

Task	Scope
Manage Service Provider Relationships	Select...
View Service Clients	Select...
Manage Facility Shifts	
Manage Facility Workday Patterns	
Manage Facility Schedule Exceptions	
Manage Facility Schedules	
Manage Inventory Organizations	
Manage Inventory Organization Data Access for Users	
Manage Inventory Organization Locations	
Manage Item Organizations	
Columns Hidden 4	

Then Choose the Requisitioning BU (BU1) and choose the second BU2 to be the Procurement Business Unit for this BU.

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Manage Service Providers: ZH_BU

Save Save and Close Cancel

Customer Payments Service Providers
Select a business unit that processes billing and revenue for this business unit. You can select only one business unit based on the outsourcing policy.
The outsourcing policy only allows one business unit to be set up as a service provider.

View +

Business Unit	Active
ZH_PROCUREMENT	☒

Procurement Service Providers
Select a business unit that processes requisitions and supplier information for this business unit. You can add one or more based on the outsourcing policy.
The outsourcing policy allows only specific business units to be set up as service providers.

View +

Business Unit	Active
ZH_PROCUREMENT	☒

Step 3: Make the Ordinary Procurement Configurations. BU1 (Configure Requisitioning and Receiving Parameters). BU2 (Common option for Payable and Procurement, Configure Procurement, Procurement Agent and Buyer Assignment Rule).

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Setup: Procurement

Search Tasks

Functional Areas

- * Initial Users
- * Enterprise Profile
- * Legal Structures
- * Financial Reporting Structures
- * Organization Structures
- Workforce Structures
- * Users and Security
- * Purchasing Categories
- * Suppliers
- * Approval Management
- * Procurement Foundation
- * Items

Procurement Foundation

View Format Freeze Detach Wrap Show All Tasks

Task	Scope
Manage FOB Lookup	
Manage Freight Terms Lookup	
Manage Purchasing Profile Options	
Manage Procurement Document Numbering	
Manage Purchasing Line Types	
Manage Document Styles	
Configure Procurement Business Function	
Configure Requisitioning Business Function	
Manage Common Options for Payables and Procurement	Select...
Manage Procurement Agents	
Columns Hidden 4	

Procurement BU2

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Manage Common Options for Payables and Procurement

SaveSave and CloseCancel

Business Unit

* Business UnitZH_PROCUREMENT

Default Distributions

* Liability101.10.22100.000.000.000

* Prepayment101.10.13500.000.000.000

Bill Payable

* Conversion Rate Variance Gain101.10.78990.000.000.000

* Conversion Rate Variance Loss101.10.78990.000.000.000

* Discount Taken101.10.77600.000.000.000

Miscellaneous101.10.60210.000.000.000

Freight

Prepayment Tax Difference

Retainage

Unclaimed Fund

Automatic Offsets

Offset SegmentsNone

Primary balancing segment

All segments, except natural account

One Time Payments

Liability101.10.22100.000.000.000

Expense101.10.24220.000.000.000

Currency Conversion

Require conversion rate entry

Conversion Rate TypeCorporate

* Realized Gain Distribution101.10.80200.000.000.000

* Realized Loss Distribution101.10.80200.000.000.000

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Configure Procurement Business Function (ZH_PROCUREMENT)

SaveSave and CloseCancel

MainDocument Types

General

Payment TermsImmediate

Shipping Method

Freight Terms

FOB

Buyer managed transportation

Price Break TypeCumulative

Buyer

* Inventory OrganizationZH_ITEM_MASTER

Line TypeGoods

* CurrencyUSD

Conversion Rate TypeCorporate

Preferred LanguageArabic AR

Prospective Supplier Registration URLhttps://fa-euth-dev93-saasfademol.ds-...

Spend Authorized Supplier Registration URLhttps://fa-euth-dev93-saasfademol.ds-...

Define Terms and Conditions

Purchasing

* Maximum File Size Megabytes5

Receipt Close Tolerance Percent0

Receipt Close PointAccepted

Invoice Close Tolerance Percent0

Match Approval Level3 Way

Allow manual price update on fulfilled orders

Default promised date from requested date

Enable automatic sourcing to contract purchase agreements

Punchout requests only

Autogenerate orders from requisition lines sourced to agreements

Automatically submit for approval

Group requisitions

Use customer sales order

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Edit Procurement Agent: Hany, Ziad

SaveSave and CloseCancel

Procurement BUZH_PROCUREMENT

AgentHany, Ziad

Default Requisitioning BU

Default Printer

StatusActive

Agent Access

Action

Allowed

Access to Other Agents' Documents

Manage Requisitions	✓	Full
Manage Purchase Orders	✓	Full
Manage Purchase Agreements	✓	Full
Manage Negotiations	✓	None
Manage Sourcing Programs	✓	None
Manage Catalog Content	✓	Not Applicable
Manage Suppliers	✓	Not Applicable
Manage Supplier Qualifications	✓	None
Manage Compliance Checklists	✓	None

BU1

≡

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Manage Receiving Parameters

Inventory Organization

ZH_INV_ORG1

Change Organization

Save

Save and Close

Cancel

🔍

🏠

📄

🔔

🗑️

ZH

General ⓘ

Ship-to Exception Action

⌵

ASN Control Action

⌵

Early Receipt Tolerance in Days

1

Late Receipt Tolerance in Days

2

* Receipt Days Exceed Action

Warning ⌵

Overreceipt Tolerance

5

* Overreceipt Action

Reject ⌵

* Receipt Routing

Inspection required ⌵

☐ Use quality inspection plan

☐ Allow substitute receipts

☐ Allow unordered receipts

☐ Enforce blind receiving

☐ Print receipt traveler

☐ Include closed purchase orders for receipts

☒ Allow routing override

☐ Process all lines together

☐ Print shipping documents for returns to suppliers

☐ Print shipping documents for drop ship orders

☐ Print shipping documents for return material authorizations

☐ Publish transactional business events

☐ Allow defaulting of lots and serial numbers from ASN

☐ Allow defaulting of lots and serial numbers from transfer order

☐ Autocreate deliveries for expense destination receipts

☐ Autocreate deliveries for PAR location receipts

⏴ Receipt Number ⓘ

* Generation

Automatic ⌵

Type

Numeric ⌵

Next Number

10001

⬆️

⬇️

⬆️

When creating a Purchase Requisition (PR), BU1 will appear as the Requisitioning Business Unit. During Purchase Order (PO) creation, it will then be assigned to BU2 as the Procurement Business Unit.

Important Note:

1. If you have more than one Procurement Business Unit and more than one Requisitioning Business Unit, you must be granted access to any additional Business Units where you are not assigned as an employee.

This can be configured using the task ([Manage Business Unit Data Access for Users](#)).

2. Ensure that the Supplier is created and the appropriate Site Assignments are completed. Ensure that the location assigned to **Procurement BU** is billed to location (yes).

New site

Procurement BU
ZH_PROUREMENT

Address Name
MAIN-ADDRESS

Address

Site
MAIN-ADDRESS

Inactive Date

Status
Active

Site Purpose

☐ Sourcing only ☒ Purchasing ☒ Procurement card ☒ Pay ☐ Primary pay

Additional information

General Purchasing Receiving Invoicing **Site Assignments**

+ Autocreate Assignments

Client BU	Bill-to BU	Ship-to Location	Bill-to Location	Use Withho...	Wi T..	Lia Dis	Bill Payable Distribution	Distribution Set	Inactive Date	Action
ZH_BU	ZH_PROUREMENT	ZH_LOC1	ZH_LOC2	☐		[				